HFDC Gold Loan – Master Product Program Document

Version: 1.0

Effective Date: Draft
Jurisdictional Assumption: India (adapt/extend for other geographies)
Audience: Product, Credit, Risk, Ops, Legal/Compliance, Treasury/Finance, Branch, Collections, Security & Facilities, IT/Analytics

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1) Product Overview

Product Name: HFDC Gold Loan (secured loan against pledged gold jewellery/coins).
Purpose: Short-to-medium term credit against the pledge of **household gold jewellery** and **standardized gold coins** (as per policy).
Positioning: Instant liquidity, branch-level availability, minimal documentation, transparent valuation, robust custody & insurance.

Core Value Proposition

- **Fast disbursal** (15–45 minutes post appraisal in mature branches).
- **Flexible structures**: Bullet, EMI, and Overdraft (OD) variants.
- **Transparent purity testing** (calibrated machines, dual-appraiser model).
- **Safety**: Dual custody vaults, tamper-evident packets, insurance coverage while in custody.
- **Omni-channel**: Walk-in + assisted digital renewal/top-ups.

Use Cases (illustrative)

- Working capital for micro-businesses/traders.
- Medical/education expenses, personal contingencies.
- Agriculturists' seasonal credit (where permitted).

Non-Permitted

- Pledge of **bullion bars** (unless specifically allowed), **foreign sovereigns** where policy prohibits, **numismatic/antique items**, or items with **solder/stones** beyond policy thresholds.
- Third-party property (pledger must be the owner; exceptions require documented consent/relationship proof).

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2) Product Variants

1. **GL-Bullet (Classic Bullet Loan)**
    - **Tenure:** 3–12 months (renewable).
    - **Repayment:** Interest serviced monthly or at maturity; **principal** repaid in **bullet** at closure/renewal.
    - **Use Case:** Cash-flow gaps; short-tenor needs.
2. **GL-EMI (Term Loan)**
    - **Tenure:** 6–24 months.
    - **Repayment:** Monthly **EMI** (principal + interest).
    - **Use Case:** Predictable budgeting; salaried customers.
3. **GL-OD (Overdraft/Cash Credit against Gold)**
    - **Tenure:** 12 months; renewable.
    - **Repayment:** Interest applied to daily utilized limit; customer can **draw/repay** anytime within limit.
    - **Use Case:** Frequent usage/repayment micro-entrepreneurs.
4. **GL-Agri (Preferential where permitted)**
    - **Purpose:** Agri inputs/seasonal working capital.
    - **Benefits:** Preferential pricing where policy allows; relaxed FOIR surrogate.

Note: Final variant availability and terms depend on regulatory permissions and HFDC risk policy.

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3) Key Parameters (Illustrative Ranges)

Parameter	GL-Bullet	GL-EMI	GL-OD	Notes
Loan Size	₹10,000 – ₹30 lakh	₹25,000 – ₹25 lakh	₹50,000 – ₹20 lakh	Higher amounts with senior approval and branch infra suitability.
Tenure	3–12 months	6–24 months	12 months (renewable)	Overdues/expiry handling per policy.

Parameter	GL-Bullet	GL-EMI	GL-OD	Notes
LTV Cap	Up to **X%** of **Net Gold Value**	Up to **X%**	Up to **X%**	**Set X per latest regulator cap & Board policy.** Historically, regulators have capped LTV for gold loans; always use the **latest circular**.
Purity Accepted	18K–22K (policy allows 23K/24K coins)	Same	Same	Stone/pearls not counted; solder deductions as per SOP.
Interest Rate	10.99% – 24% p.a.	10.49% – 22% p.a.	11.99% – 24% p.a.	Risk banded by LTV, ticket, tenor, customer profile.
Processing Fee	0% – 1.5%	0% – 2.0%	0% – 1.5%	Slabs with min cap (e.g., ₹199–₹2,999).
Renewal	Allowed	Allowed	Annual renewal with review	Re-valuation mandatory; fresh agreement if terms change.

Definitions

- **Gross Weight:** Jewellery total weight.
- **Stone/Extraneous Deduction:** Weight of stones, pearls, non-gold parts.
- **Net Weight:** Gross – deductions.
- **Purity (Karat):** 24K=99.9%; 22K≈91.6%; 18K=75%.
- **Net Gold Value:** Net Weight × Purity × **HFDC Gold Rate** (daily board rate).
- **Eligible Loan Value:** Net Gold Value × **LTV%** (subject to caps).

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4) Eligibility & Demographics

- **Borrowers:** Indian residents (individuals). Non-individuals only if policy allows (e.g., proprietorship with KYC linkage).
- **Age:** 18–70 years (at entry); at maturity ≤70 (policy overrides allowed with underwriting).

- **KYC:** PAN (where mandated), OVD per KYC Master Directions, photo, mobile/email verification.
- **Ownership:** Borrower should be the lawful owner of the pledged gold. **Consent documents** required if co-owned (e.g., spouse).
- **Income Proof: Not mandatory** for Bullet/OD in standard program; however, **repayment capacity** and **credit behaviour** considered (bureau report, internal history). For EMI variant, income proofs may be required per risk band.
- **Bureau:** Score threshold e.g., ≥620/650 preferred; negative lists disqualify.

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5) Documentation Checklist

KYC/Identity

- PAN (as required), Aadhaar (voluntary), Passport/DL/Voter ID, photograph.
- Address proof (utility bill, bank statement, passport, Aadhaar—voluntary).
- FATCA/CRS declarations (if applicable).

Loan & Security

- Loan application, **Key Facts Statement (KFS)**, MITC, sanction note.
- Gold pledge agreement with detailed **auction clause** and customer declarations.
- eNACH mandate (for EMI/interest servicing), eSign/eStamp where permitted.

Operations

- Appraisal sheet (gross weight, deductions, purity %, rate, LTV, eligible value).
- Packet ID/barcode, tamper-evident seal number, photographs (optional), CCTV log.

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6) Valuation & Appraisal (SOP)

1. **Intake & Pre-screen**
    - Record items count, visible stones, hallmark presence, customer's declaration of ownership.
    - **CCTV** recording starts; appraiser and customer visible.
2. **Cleaning & Weighing**

    - Remove dust/grease; **no scratching on visible surfaces** beyond SOP.
    - Use **calibrated digital scale** (calibration log maintained).
    - Capture **gross weight** item-wise.
3. **Stone/Extraneous Deduction**
    - **Non-gold parts** (stones, beads, screws, pearls, threads) are **weighed/deducted**.
    - If removal not possible, apply **standard deduction matrix** (conservative).
4. **Purity Testing**
    - **Touchstone** preliminary; **XRF/Karatmeter** primary where available.
    - Hallmark (BIS) considered supportive evidence, but machine test prevails.
    - **Solder adjustment**: reduce purity per SOP to account for solder alloy.
5. **Rate Application**
    - Apply **HFDC Board Rate** for the day (22K and 24K reference), updated by Treasury;
      convert to relevant karat using purity %.
6. **Eligible Value & LTV**
    - Compute **Net Gold Value** and apply **LTV%** (as per latest regulatory cap and HFDC policy).
    - Print appraisal sheet; obtain customer acknowledgment.
7. **Packetization & Vaulting**
    - Items packed in **tamper-evident, barcoded** packets; packet ID linked to loan ID.
    - **Dual custody** movement to vault; entries in **gold register** (system + physical).

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7) Credit & Risk Policy

- **Primary collateral-based lending**; minimal dependence on income for Bullet/OD; EMI variant evaluates **FOIR** when needed.
- **Bureau & Behavioural checks:** Recent delinquency, multiple recent inquiries, write-offs, fraud markers = high risk.

- **Program Caps:**
  - **Max exposure per borrower** (e.g., ₹30 lakh aggregated).
  - **Branch vault limit** and **per-packet limit** (security/insurance).
  - **Purity floor:** Usually ≥18K; lower purity rejected.
- **Concentration:** Monitor by **pincode**, **branch**, **ticket size**, **customer profile**.

Exceptions: Only through documented **override matrix** (maker–checker–approver).

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8) Pricing & Fees (Illustrative)

- **Interest:** Slab-based by LTV, ticket, tenor, and customer segment. Example bands:
  - Tier A (LTV ≤ 65%): 10.99%–13.99% p.a.
  - Tier B (65% < LTV ≤ 75%): 13.50%–18.00% p.a.
  - Tier C (LTV > 75% if permitted): 18.00%–24.00% p.a.
- **Processing Fee:** 0%–2.0% (min ₹199–₹2,999).
- **Part-payment/Preclosure:** Nil–1% depending on variant and vintage; **no penalty** where regulation requires.
- **Renewal Fee:** ₹199–₹1,499 per renewal (if applicable).
- **Other:** Notice/auction charges at actuals, re-pledge fees **not applicable** (HFDC doesn't re-pledge).

Taxes: GST as applicable. **Publish a tariff card** and include in KFS.

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9) Interest, Repayment & Illustration

- **GL-Bullet:** Interest serviced monthly or at end; **compound** if unpaid per contract; principal paid in **bullet** at maturity/renewal.
- **GL-EMI:** Standard **EMI** using reducing balance.
- **GL-OD:** Interest on **daily utilization**; billed monthly.

EMI Formula (reference)
EMI = P × r × (1+r)^n / [(1+r)^n – 1]
Where P=principal, r=monthly rate, n=months.

Example (Illustrative)

- Net Gold Value: ₹2,00,000; LTV: 75% ⇒ **Loan** = ₹1,50,000
- Interest: 14% p.a. (r = 14/12 = 1.1667%/month)
- Tenor: 12 months (EMI variant)
- **EMI ≈ ₹13,496**; Total interest ≈ ₹11,952 (assuming exact monthly rests; numbers will vary slightly).

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10) Customer Journey (Lifecycle)

A) Origination (Walk-in/Assisted Digital)

1. **Greet & Educate:** Explain process, LTV, interest, fees, auction clause; share **KFS**.
2. **KYC & Consent:** eKYC/OVD scan, bureau consent.
3. **Appraisal:** Purity test, weight, deductions, rate → **eligibility** computed.
4. **Sanction & Documentation:** Sign pledge agreement, eSign/eStamp; packet seal in **customer view**.
5. **Disbursal:** Cash up to permitted cash limits; otherwise **bank transfer** (preferred). Receipt provided.

B) Servicing

- **Bullet:** Interest reminders, digital payment links, mid-cycle top-up if gold price rises (policy-based).
- **EMI:** eNACH/UPI AutoPay; statements; part-payment allowed.
- **OD:** Limit utilization view in app; interest debited monthly.

C) Renewal / Enhancement

- **Re-valuation** at renewal; adjust LTV; execute **fresh agreement** if terms change.
- Top-up possible if **eligible value** rises and LTV headroom exists.

D) Delinquency & Auction

1. **Soft Buckets (1–30 DPD):** Reminders, interest capitalization as per contract.
2. **Hard Bucket / Tenure Expiry: Demand notice** with **clear timeline** to regularize.
3. **Auction Process:** If unresolved, **final notice** and public auction via approved auctioneer;
    - Intimate borrower with **date/time/place** and **reserve price methodology**.

    - Post auction: **Excess** proceeds (net of dues & charges) **refunded** to borrower; shortfall recovered per policy.

4. **Bureau Reporting:** Timely and accurate.

All communications follow fair-practices, respectful conduct, and legal timelines.

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11) Legal & Regulatory (Indicative, India-centric)

- **KYC/AML:** As per applicable Master Directions; maintain **photo/video KYC** logs where used; periodical KYC refresh.
- **KFS & MITC:** Provide **Key Facts Statement** and **Most Important Terms & Conditions** in simple language; obtain explicit acknowledgment.
- **Fair Practices Code:** Display at branch & website; rate board updated daily.
- **Auction Rules:** Follow **contract** + **regulatory guidance** for notices, reserve pricing, and conduct. Maintain **auction records** and customer communication proofs.
- **Data Privacy:** Explicit consent for data use; purpose limitation; retention schedules; role-based access.
- **Insurance:** Insurance for **gold in custody** (burglary, fire, fidelity); lender's interest noted.
- **Audit Trails:** CCTV retention per policy; vault logs and dual-custody logs retained.

Action: Legal to maintain a **state-wise** checklist (cash-disbursal limits, stamp duty, auction norms, BIS hallmarking treatments, etc.). **Always confirm the latest regulator LTV cap and instructions before publishing pricing/LTV.**

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12) Operations & Controls (Branch & Central)

Branch Infrastructure

- **CCTV** covering appraisal table, vault room entry (no customer biometric recordings).
- **Scales** (class II/III), **XRF/Karatmeter**, touchstone; **calibration log** monthly.
- **Tamper-evident pouches**, barcode printer/scanner, fire-rated vault, smoke/intrusion alarms.
- **Two-key vault** with **dual custody** (Ops + Branch Manager/Designee).

Maker-Checker-Approver

- **Maker:** Appraiser/CSA—intake, KYC, appraisal sheet.
- **Checker:** Branch Ops—KYC/AML, rate & LTV sanity, documentation.
- **Approver:** Central/Branch Credit—risk decision & pricing band.
- **Vault Custody:** Dual control; custody handover logs; daily EOD reconciliation.

Daily Controls

- **Opening & closing vault counts**, packet ID verification, **system vs physical** match.
- **Rate board update** by Treasury; branch confirmation.
- **Insurance coverage** sufficiency vs on-hand value.
- **Surprise audits**; **mystery shopping**; **image/video tamper** checks.

Movement Controls

- **No packet opening** without formal process; if court/order/renewal requires, record under CCTV with dual sign-off.
- Inter-branch movement in **locked transfer boxes** with transit insurance and armed logistics (where used).

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13) Gold Pricing & Risk Management

- **Board Rate Setting:** Treasury sets daily **HFDC Gold Rate** (per gram for 24K/22K), using **market references** and internal buffer for volatility.
- **Volatility Controls:**
  - **Intraday LTV guardrail**; halt top-ups if price falls >X%.
  - Margin call triggers on OD accounts.
  - Monthly **stress testing** (price shock scenarios).
- **Concentration:** Limits on **customer**, **branch**, **geography**; large packet alerting.
- **Revaluation Cadence:** At renewal; forced revaluation if volatility breach.

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14) Fraud & EWS (Early Warning Signals)

Scenario	Red Flags	Mitigations
Spurious/Gold-plated items	Unusual density, magnet reaction, poor assay consistency	Dual testing (XRF + touchstone), cut test as last resort with customer consent per SOP
Borrowed gold / Multiple pledges	Customer hesitant about photos/ownership, nearby lenders' enquiry spike	Ownership declaration, negative list checks, bureau + internal dedupe, radius monitoring
Hallmark misuse	Fake/old hallmark stamps	Machine purity prevails; no reliance on stamp alone
Branch collusion	Repeated exceptions by same staff, camera blind spots	Rotation, maker-checker segregation, CCTV analytics, surprise audits
Packet tampering	Seal mismatch, weight mismatch	Tamper-evident bags, barcode reconciliation, daily vault counts
Rate manipulation	Back-dating or wrong rate	System-locked board rate; EOD exception report

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15) Finance, Accounting & Capital

- **Recognition:** EIR method for fee/amortization; interest on daily balances for OD.
- **NPA/Impairment:** Stage-wise ECL; policy overlays for price shocks; **interest reversal** on NPAs per regulation.
- **Collateral Valuation for ECL:** Use **haircut** on net gold value; stress overlays for price volatility.
- **Insurance & Custody:** Premium booked to opex; claims mapped to specific incidents.
- **ALM:** Short-tenor assets; manage repricing gaps; funding mix (CP/term borrowings/deposits where applicable).

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16) IT, Data, & Analytics

- **LOS/LMS:** Item-level data model (item count, gross/net weight, purity, rate, LTV, packet ID, seal number, images, CCTV event ID).
- **Integrations:** eKYC, bureau, device risk, tariff API (Treasury), payments, eSign/eStamp, notification engine, audit trail.
- **Dashboards:** Disbursals, AUM, LTV distribution, delinquency buckets, auction pipeline, yield by band, branch productivity, vault value vs insurance, surprise-audit outcomes.
- **Data Privacy & Security:** Encryption at rest/in transit; PII minimization; granular access control; **video retention** per policy.

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17) Customer Instructions – "How to Get a Gold Loan"

1. **Visit HFDC branch** with **original KYC** and gold jewellery/coins.
2. **Purity test & valuation** in your presence; we explain **LTV** and give a **KFS**.
3. **Choose a plan**: Bullet, EMI, or OD.
4. **Sign documents** (pledge agreement, KFS, consent); we seal your gold in **tamper-evident packets** and store it in a **dual-custody vault** with **insurance**.
5. **Get funds** instantly via bank transfer (cash only within permitted limits).
6. **During the loan**:
    - **Bullet/OD:** Pay interest monthly; renew/top-up as needed.
    - **EMI:** Auto-debit your EMI; you can part-prepay anytime (per policy).
7. **Close anytime** by paying outstanding dues; collect your gold the same day (subject to branch cut-off) after ID verification.

Documents Required (Quick List)

- KYC: PAN (as required), OVD (Aadhaar—voluntary/Passport/DL/Voter ID).
- One passport photo, mobile/email.
- For EMI: salary slips/bank statements (if requested) or other income proof.

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18) Customer-Facing FAQs

- **Is my gold safe?** Stored in **tamper-evident packets** under **dual custody** with **CCTV** and **insurance** while in our vault.

- **What LTV will I get?** Based on **purity** and **regulatory cap**. We disclose the rate and eligible loan upfront.
- **Can I preclose early?** Yes. Fees depend on the plan; often **nil** on Bullet.
- **What if I miss interest payments?** We'll remind you; unpaid interest may capitalize per contract. Persistent default may lead to **auction** after due notice.
- **Will my jewellery be melted? No.** We do **non-destructive testing**. Cut test is rare and done only with consent if readings are inconsistent.
- **How soon do I get my gold back after closure?** Usually **same day** (within branch cut-off time).

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19) Auction Process (Policy Outline)

1. **Trigger:** Tenor expiry + grace not cured, or severe delinquency.
2. **Notices:**
    - **Demand Notice**: Amount due + last date to pay.
    - **Final Auction Notice**: Date/time/place; **reserve price** based on current board rate/auctioneer method minus costs.
3. **Conduct:** Public auction via empanelled auctioneer; competitive bidding; full records retained (video/attendance/lot sheets).
4. **Settlement:**
    - **Dues & charges** recovered first.
    - **Surplus** refunded to borrower via bank transfer; **deficit** pursued per policy.
5. **Post-Auction Comms:** Statement to customer with lot outcome and final accounting.

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20) Training, Audit & Governance

- **Mandatory Training:** KYC/AML, gold appraisal, customer conduct, fraud red flags, vault controls, incident response.
- **Internal Audit:**
    - **Monthly packet count**; reconciliation with LMS.
    - **Calibration certificates**; CCTV health; access logs.

    - **Sample retesting** of pledged items (without opening packets; records only).
- **Policy Governance:** Annual Board re-approval; quarterly compliance review; immediate updates if regulator changes LTV or auction guidance.

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21) Templates & Operational Annexures

A) Appraisal Sheet (Key Fields)

- Customer ID, Loan ID, Date/Time, Appraiser ID
- Item wise: Description, Gross Wt, Deductions, Net Wt, Purity %, Rate/gm, Eligible Value
- LTV %, Sanctioned Amount, Variance reason (if any)
- Packet ID/Seal No., Customer Acknowledgment

B) Pledge Agreement (Highlights)

- Security interest, custody terms, insurance, interest computation, renewal, events of default, **auction clause**, communication channels, grievance redressal.

C) Auction Notice (Key Lines)

- Outstanding dues; final repayment date; auction details; reserve price method; customer rights; contact.

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22) Example Calculations

1. **Bullet Loan**
    - Net Gold Value: ₹4,00,000; LTV: 75% ⇒ Loan = **₹3,00,000**
    - Rate: 15% p.a.; Tenor: 6 months
    - **Interest (simple)** ≈ ₹22,500 (if interest paid only at maturity).
    - **Closure Amount** ≈ ₹3,22,500 (+ fees/taxes, if any).
2. **OD Variant**
    - Limit: ₹2,00,000; Utilized average: ₹80,000; Rate: 14% p.a.
    - **Monthly Interest** ≈ ₹80,000 × 14% / 12 = **₹933** (approx; daily method applies).

3. **EMI Variant**
    - Principal: ₹1,50,000; Tenor: 12 months; Rate: 13% p.a.
    - **EMI ≈ ₹13,399**; Total interest ≈ ₹8,788 (illustrative).

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23) Launch Readiness Checklist (Gold Loan-Specific)

- ✅ Branch infra (CCTV, vault, alarms, XRF, calibrated scales, tamper bags)
- ✅ Empanelled auctioneers & logistics vendors; **insurance** live
- ✅ SOPs: appraisal, packetization, custody, renewal, auction
- ✅ Tariff & daily rate governance (Treasury)
- ✅ KFS/MITC and pledge agreements (multi-lingual)
- ✅ Training completion & certification for appraisers/branch staff
- ✅ LOS/LMS readiness, packet barcode mapping, CCTV integration
- ✅ Audit program & surprise-audit calendar
- ✅ Complaint/grievance mechanism with TAT and escalation matrix

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24) Glossary

- **Karat (K):** Measure of gold purity (24K = pure).
- **LTV:** Loan-to-Value ratio of eligible gold value.
- **OD:** Overdraft—draw/repay within limit, interest on usage.
- **KFS:** Key Facts Statement (customer-facing, mandatory disclosure).
- **MITC:** Most Important Terms & Conditions.